EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Tuao is a 1st class municipality situated in the western part of Cagayan Valley called the Itawes Region and composed of 32 barangays. The Municipality, which is under the third Congressional District of Cagayan, has a population of 57,154 people according to the 2007 National Statistics Office census. The recorded history of Tuao began in 1604 when founded by the Spanish Civil Government.

For CY 2019, the Municipality of Tuao had a total of 380 personnel complement, consisting of 63 permanent, 1 temporary, 12 elective, 8 co-terminus, 12 casual, 7 consultants, 5 contract of service and 272 job order status.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Tuao, Cagayan for CY 2019 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2019, with comparative figures for CY 2018, are as follows:

	2019	2018	Increase (Decrease)
Financial Position			
Total Assets	491,984,165.62	438,848,131.88	53,136,033.74
Total Liabilities	83,987,369.13	92,676,394.95	(8,689,025.82)
Total Government Equity	407,996,796.49	346,171,736.93	61,825,059.56
Financial Performance			
Total Income	198,567,679.31	182,149,637.10	16,418,042.21
Total Expenses	137,271,917.70	133,862,653.60	3,409,264.10
Appropriations, Allotments and Obligations			
Total Appropriations – Current	197,144,824.43	173,930,662.24	23,214,162.19
Total Obligations – Current	119,720,713.67	116,690,982.47	3,029,731.20
Total Appropriations – Continuing	76,476,790.25	57,378,384.00	19,098,406.25
Total Obligations - Continuing	21,814,358.06	9,586,632.97	12,227,725.09

The table below presents the fund transfers received by the Municipality from other agencies totaling P19,507,676.78, with comparative figures for CY 2018. There were no funds transferred to other agencies during the year.

	2019	2018	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	11,507,676.78	37,257,020.00	(25,749,343.22)
Local Government Units	8,000,000.00	1,000,000.00	7,000,000.00
Government Owned and Controlled Corporations	-	50,000.00	(50,000.00)
Total	**19,507,676.78**	**38,307,020.00**	**(18,799,343.22)**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Tuao for the year ended December 31, 2019 due to deviations from prescribed procedures and non-compliance with rules and regulations resulting in accounting deficiencies, thus, affecting the financial statements.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations:

1. **The accuracy and propriety of the Cash in Bank - Local Currency, Current Account totalling to P253,829,877.33 is doubtful due to the: (a) non-preparation of Monthly Bank Reconciliation Statements; and (b) non-presentation & non-recording of reconciling items of Bank Reconciliation Statements in the books, contrary to Sections 74, 111 & 112 of PD 1445, and COA Circular No. 96-11 dated October 2, 1996.**

   We recommended that the Municipal Accountant:

   a. Prepare and submit monthly Bank Reconciliation Statements of all its depository bank accounts, take up reconciling items, and effect adjustment in the GL to ensure the correct balance of the Cash in Bank accounts; and

   b. Exert more time and effort to trace, verify and reconcile regularly the book balances against the bank records, including reconciliation with the cashbook maintained by the Municipal Treasurer.

2. **The recorded Road Networks account amounting to ₱8,575,359.66, net of accumulated depreciation, cannot be ascertained whether this represents the entire road networks of the Municipality, due to lack of proper disclosures and absence of reports, such as Registry of Public Infrastructures, Report on the Physical Count of Local Road Network, Local Road Network Ledger Cards, Local Road Inventory records, with Road Map and Local Road Network Property Cards.**

   We recommended that the Management:

   a. Conduct physical count of Local Road Networks and prepare the RPCLRN;

   b. Update the Registry of Public Infrastructures, through a detailed review of prior year's transactions, in order to identify the entire Road Networks of the Municipality;

   c. Complete Local Road Inventory records with Road Map and Local Road Network Property Cards and submit the said Report prepared by the Inventory Committee as shown in Annex A of COA Circular 2015-008; and

   d. Make proper disclosures in the Notes to Financial Statements as regards all Road Networks pursuant to COA Circular 2015-008.

3. **The aggregate balance of Inter-Agency Payables of P29,595,593.49 could not be ascertained due to the non-preparation and non-maintenance of subsidiary ledgers to support the balances presented in the Financial Statements, contrary to Sections 111 and 114 of Presidential Decree No. 1445.**

   We recommended that the Municipal Accountant:

   a. Determine the details of each accounts under the Inter-Agency Payables account by segregating those balances that pertain to his period with those amounts that were only carried over for easy establishment of its subsidiary ledgers;

   b. Remit those accounts that are already past due or due for liquidation; and

   c. Henceforth, maintain and submit the ledgers of each account of the Inter-Agency Payables to support their balances in the Financial Statements in accordance with Sections 111 and 114 of PD No.1445.

4. **Payments of salaries to casual employees amounting P2,107,202.74 were charged to salaries and wages appropriated for permanent employees without authorization, which is contrary to Sections 321 and 336 of R.A. No. 7160 or the Local Government Code of the Philippines.**

We recommended that the Management:

a. Determine and appropriate the budget needed for the payment of salaries of casual employees in order to avoid the use of appropriations allocated for salaries of permanent employees or any expense as the case may be in accordance with Sections 321 and 336 of the Local Government Code; and

b. Ensure that future transfer/use of funds be supported by appropriation ordinance covering a supplemental budget and be transmitted to the Sangguniang Panlalawigan for review and approval.

5. The Municipality granted PRAISE cash incentives amounting to P318,000.00 to job orders, uniformed personnel assigned in the Municipality and regular employees, contrary to Section 2 of Rule XI, CSC Memorandum Circular No. 40 s. 1998 and Items 1 and 6 of CSC Memorandum Circular No. 1 s. 2001, resulting in the irregular disbursements of government funds.

We recommended that the Management:

a. Require the job orders, uniformed personnel and regular employees, who received said incentive, to refund the amount given them. Otherwise, officials who approved the grant of said incentive shall be held liable for the amount totalling to P318,000.00; and

b. Avoid giving incentives to its job order workers and to uniformed personnel assigned in the Municipality, who are not allowed to receive the same, pursuant CSC Resolution No. 020790 dated June 2, 2002 and Items 1 and 6 of CSC Memorandum Circular No.1 s. 2001, so that government funds are spent in accordance with laws, rules and regulations.

E. Summary of Total Suspensions, Disallowances and Charges

There were no Notices of Suspension, Notices of Disallowance and Notices of Charge issued to the Municipality.

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 24 audit recommendations embodied in the CY 2018 Annual Audit Report, fifteen (15) were implemented, six (6) were partially implemented and three (3) were not implemented.